DIGI POWER X INC DGXX S

July 28, 2026 - 10:03am EST
by pengiuin253

			2026	2027
Price:	3.85	EPS	0	0
Shares Out. (in M):	104	P/E	0	0
Market Cap (in $M):	399	P/FCF	0	0
Net Debt (in $M):	0	EBIT	0	0
TEV (in $M):	244	TEV/EBIT	0	0
Borrow Cost:	Available 0-15% cost			

Description

DigiPower X has been written up once on VIC before, under its prior name Digihost Technologies, back in 2022 when it was a crypto miner. It is attempting to transition to being a data center company; it is run by CEO Michel Amar and his son, Alec Amar. Michel is an avid pumper of his stock on X, Youtube, and Instagram.

I believe DGXX is at best operating with immense transparency issues and at worst a fraud, and either way is likely to miss its recently posted 2027 revenue estimates by 50-70%. Apologies to the VIC community for not getting this write-up done sooner. I tried to get FOIA requests on the actual site, but Shelby County has aired my requests even with an in-state proxy. I have decided to post the write-up and will update once they come through. It is covered by one sell-side analyst and H.C. Wainwright dropped coverage after a compensation dispute, where DGXX had to pay $1.5m to settle. Yeah, we are off to a great start already....

Business Overview:

DigiPower X owns 4 main sites across Ticonderoga and Niagara Falls, NY; Columbiana, AL; and NC.

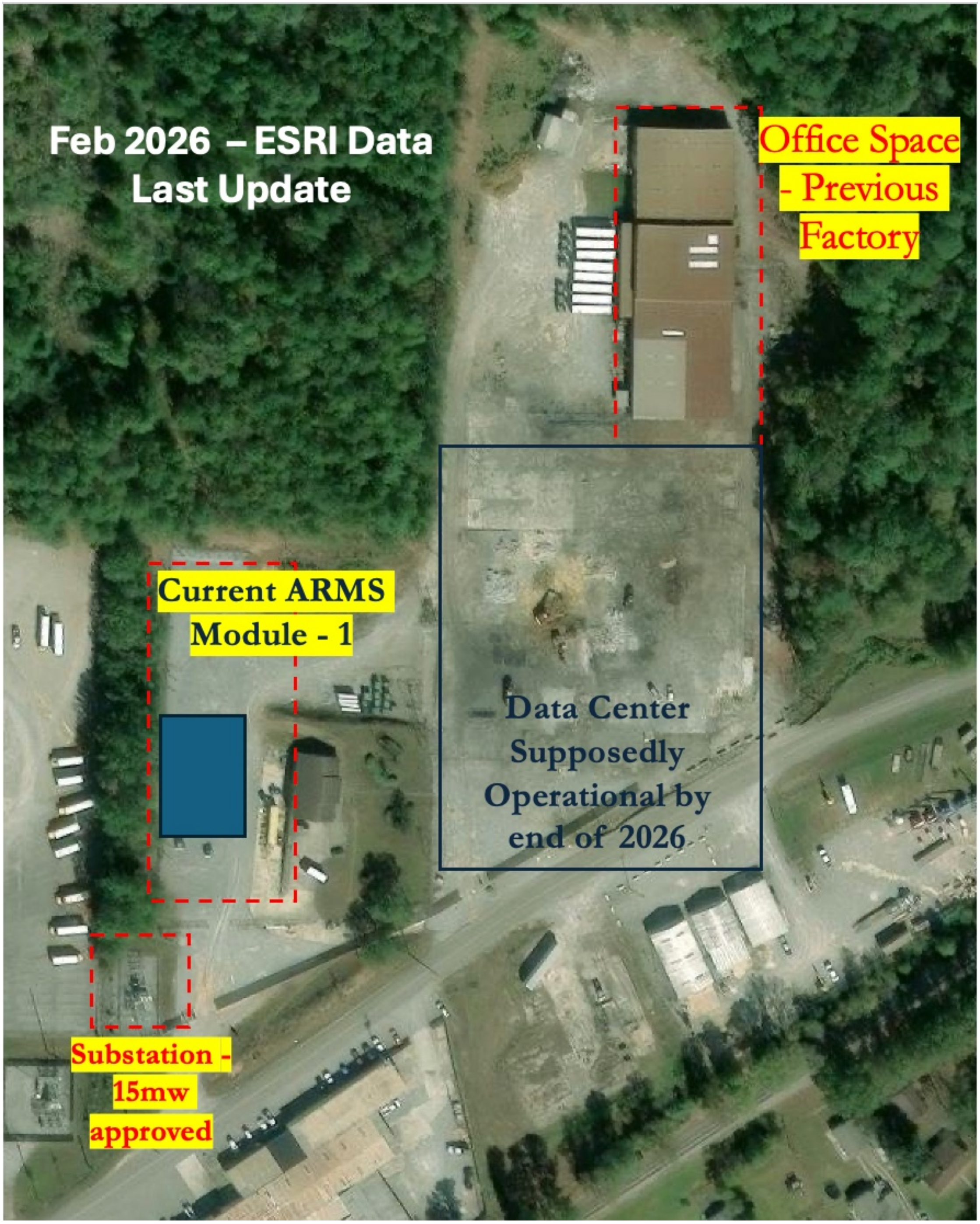
	Total Capacity (May SEC Filling)		
	Alabama	**New York Sites**	**North Carolina**
Power Capacity	55.0	141.7	196.7
Crit Load Power Capacity (Estimated)	40.0	103.1	143.1
		Total Critical Load Capacity	**286.1**

They currently have, according to my calculations, roughly ~300MW in critical IT power capacity, but this is not built-up compute capacity. NC is currently just barren land with no data center, and they are guiding to completion by 2028.

They have three main business segments: colocation, GPU-as-a-Service rental (NeoCloudz), and USDC (a majority ownership venture talked about later on – not important now). The important thing to note now about USDC is that they provide DigiPower X these modular data center pods; each pod can support up to 256 GPUs for a little under 1MW in compute.

They are currently in the process of building out their Alabama facility, which currently includes one USDC pod and the construction of a 40mw IT load Data Center for Cerebras.

About the Alabama Site (all of the company's contracts and all meaningful revenue will come from here)



They took over a former Grede foundry that closed in 2020, and the substation that had 15MW of IT load, which was enough for their bitcoin mining operations.

DigiPower X will likely need to forfeit the second phase of their Cerebras contract

DigiPower X has signed a contract with Cerebras, a 10-year contract for 40MW of IT load for $1.1B (~$2.75m per MW). The contract specifies that the compute is delivered in two phases: 15MW with a date of December 15, 2026, and an incremental 25MW at the end of Q1 2027.

The second phase relies on two separate events: DigiPower X securing financing and Cerebras approving it. Per the master agreement, they have a fixed window to secure this financing after the execution of the agreement.

"Between the Effective Date and the date that is [***] days thereafter (the "Financing Period"), Operator shall use commercially reasonable efforts to secure financing for Phase 2 (which can consist of any combination of equity or debt financing) on terms and conditions reasonably acceptable to both Operator and Customer (the "Financing")"

The agreement was executed on May 4th, so it's been 84 days, and the only update on this is the CEO on a recent X podcast saying debt and equity financing would be the next big catalyst. They have burned 3 months with 9 months remaining, running this very tight. Gerard Rotonda, a board member, tweeted on X on May 15, 2026:

“Michel confirmed a term sheet has been signed with a lender, contemplating a 70/30 loan-to-cash structure, to fund the build out via debt rather than dilution.”

So if they have signed a term sheet, why haven’t they publicly announced it if they know it’s a catalyst? What are they waiting for? I can’t really deduce what's going on here, but my thesis is on the actual buildout and not the financing. I believe they will get the financing and have it approved, but I think the Phase 2 component of the build will not happen and will result in DGXX owing Cerebras delay credits and canceling the second trance (it’s effectively a call option for Cerebras).

How they will miss the Phase 2 delivery date

CEO Michel Amar has claimed over the years that they have stockpiled transformers from their crypto days and have all the equipment in place for the physical data center. They even noted in a press release in May that:

“All long-lead equipment secured. The Company has secured commitments for all major long-lead equipment required for the Phase 1 buildout, including critical electrical and switchgear infrastructure. Securing this equipment removes a key schedule risk and supports the Company’s targeted ready-for-service timeline.”

Phase 1 is the key part here, as it doesn’t explicitly say that they have the infrastructure to meet both Phase 1 and Phase 2. I believe they likely don't have the needed substation upgrade in order to get the 40MW to power the Phase 2 buildout. This is confirmed in a January town hall that has <200 views (50 views are probably mine :)) and is close to 2 hours long, with most of the conversation from disgruntled residents, but at the 1:33:54 mark we get a very important piece of information.

Columbiana Town Hall on DigiPowerX Data Center

“The substation there that was left over from Grede is 22mw, right”– Shelby County Reporter

(indicates to me no upgrade has been done since taking it over in 2022)

“Right” – DGXX Rep

“Do you have plans to upgrade to higher wattage in the future?” – Shelby County Reporter

“Yes.” – DGXX Rep

“Is there enough infrastructure currently in place for those necessary upgrades, or would you have to work with Alabama Power to upgrade the area more?” – Shelby County Reporter

“We would have to do an upgrade for the tie and substation, yes.” – DGXX Rep

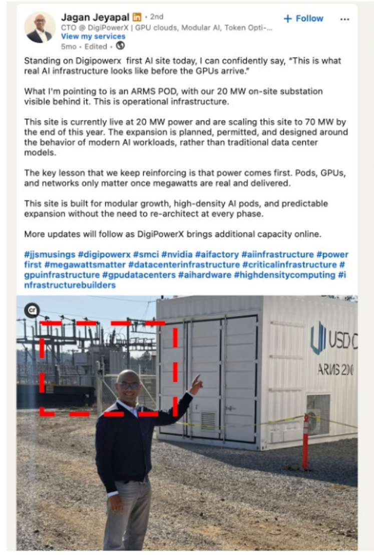
A post from the CTO 5 months ago on LinkedIn shows their substation, which I previously outlined as sufficiently supplying 20MW, confirming the town hall that they have not upgraded to the needed 40MW of IT load for the complete data center. He also says they are scaling to 70MW by end of year, which doesn't match the filed documents and implies they are going to get a substation upgrade done in less than 9 months.

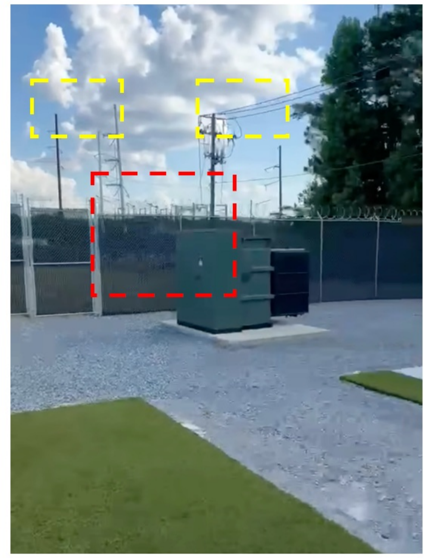
He also says this, which at first glance reads as though they had the entire site permitted, but it looks like this 100% AI post just says a bunch of nothing:

“The expansion is planned, permitted, and designed around the behavior of modern AI workloads, rather than traditional data center models.”

ESRI Wayback Substation Photos – Looks to be the same

2014 2019 2020 2022 2026





It is also important to note that this looks to be the same substation from the Grede foundry, which dates back to at least 1984, and this was a steel foundry that was operating with 94 employees at the time of closure — a medium-sized plant, but nothing to warrant a 70 MVA transformer (not an electrical engineer by any means).

So a transformer upgrade is 100% warranted and needed, but what next?

If they need to do an upgrade on the substation to get it to 40MW, that makes the timeline to hit Q1-27 very rough.

Looking around at thirdbirdge expert calls for transformers:

"In the past, so let's talk substations exclusively. The main cost in that is the main transformer, and those things can be as big as a school bus. 3-4 years ago, when doing an acquisition in the transformer space, the substation transformer space, the lead times were about two years. I have heard anecdotally that they're 48-60 months now." – According to a former exec at Quanta (March 26)

"'We will hold five slots for you, 20% down payment of average transformer cost, average USD 4m-5m. They want those dollars as deposits that they invoice and get paid for in 30 days. Then they hold those slots for us, but we have to keep them posted quarterly on forecast to make sure we're trending correctly. Then 70 weeks before that slot shipment window, they will come and say, 'Hey, it's now time for the rest of the money for your PO, please pay us.'" – Senior Procurement Executive at Eversource Energy (Dec 24)

This makes me think that when DGXX says long-lead equipment is secured, what they actually mean is a reservation and not the physical goods on hand. A slot is not a transformer, it's an option to buy one, and per the Eversource exec you still owe the rest of the PO 70 weeks before the shipment window or you forfeit the deposit. I think this is exactly why they say "secured commitments for" and not "ordered" or "purchased," and the whole sentence is scoped to Phase 1 anyway.

Let's work backwards from the Q1-27 target. To have the transformer ready and operational by then, you need the transformer on site before then for installation etc. in late 2026-ish. 70 weeks before that puts the balance PO in early 2025. The slot and the 20% deposit come before that, so 2024 or earlier. So assuming they ordered one, we would see either a large increase in their PP&E of $3-5m or some sort of increase in prepaid assets.

4. Amounts receivable and other assets

	As at December 31, 2025	As at December 31, 2024
Utility deposits	$ 5,228,270	$ 1,942,476
Equipment deposit	8,496,528	
Prepaid expenses	56,585	142,066
Accounts receivable	1,136,972	1,836
Other receivable	382,715	169,037
Interest receivable	-	72,000
	15,301,070	2,327,415
Long-term deposits and prepaid expenses	(13,724,798)	(1,942,476)
	$ 1,576,272	$ 384,939

The Corporation uses the single expected credit loss impairment model, which is based on changes in credit quality since initial application.

The Corporation assumes that the credit risk on a financial asset has increased significantly if it is more than 30 days past due. The Corporation considers a financial asset to be in default when the borrower is unlikely to pay its credit obligations to the Corporation in full or when the financial asset is more than 90 days past due.

The carrying amount of a financial asset is written off (either partially or in full) to the extent that there is no realistic prospect of recovery. This is generally the case when the Corporation determines that the debtor does not have assets or sources of income that could generate sufficient cash flows to repay the amounts subject to the write-off.

Looking at their 2025 and 2024 prepaid assets and equipment deposits (they refer to equipment as "computing equipment," it also spikes in Q1-2026, when they have announced orders of Blackwell and Rubin chips, so pretty sure this would not be where the transformer is booked). But if it is known to meet delivery by late 2026, that would mean, likely with a two-year-plus backlog, which was common during 2024, that they would have needed to pay the 20%

deposit and this would show up as some sort of asset in 2024. I see no $600-800k in prepaid assets or deposits on the FY24-end balance sheet.

Between 2024 and Q1-26 we can look at land and buildings PP&E and we see no large $3-5m sudden inflow, which signals that they have not received the transformer yet. There is a note in Q1-26 that they have ordered assets summing to $5m that are not available for their intended use. This could be the transformer, which means they likely ordered it in Q1-26 of this year for the intended upgrade. But due to lead times, they would be looking two years out, 2028, meaning that they would not be able to provide Phase 2 for Cerebras.

5. Property, plant and equipment

	Land and buildings(1)	Data miners	Equipment (1)	Leasehold improvement	Power plant in use(2)	Total
Cost						
December 31, 2024	$ 7,094,339	$ 31,895,779	$ 24,592,207	$ 1,079,542	$ 5,234,577	$ 69,896,444
Additions	1,718,524	1,100,550	1,962,022	-	1,405,657	6,186,753
Disposal	-	(14,041,665)	-	-	-	(14,041,665)
December 31, 2025	**8,812,863**	**18,954,664**	**26,554,229**	**1,079,542**	**6,640,234**	**62,041,532**
Additions	1,429,804	-	2,903,093	-	290,577	4,623,474
March 31, 2026	**$ 10,242,667**	**$ 18,954,664**	**$ 29,457,322**	**$ 1,079,542**	**$ 6,930,811**	**$ 66,665,006**
Accumulated depreciation						
December 31, 2024	$ 491,218	$ 31,496,438	$ 13,061,778	$ 506,900	$ 696,367	$ 46,252,701
Depreciation	403,233	399,341	5,469,650	105,318	447,054	6,824,596
Impairment	-	(14,041,665)	-	-	-	(14,041,665)
December 31, 2025	**894,451**	**17,854,114**	**18,531,428**	**612,218**	**1,143,421**	**39,035,632**
Depreciation	123,957	91,713	1,048,935	26,330	126,864	1,417,799
March 31, 2026	**$ 1,018,408**	**$ 17,945,827**	**$ 19,580,363**	**$ 638,548**	**$ 1,270,285**	**$ 40,453,431**
Net carrying value						
As at December 31, 2025	**$ 7,918,412**	**$ 1,100,550**	**$ 8,022,801**	**$ 467,324**	**$ 5,496,813**	**$ 23,005,900**
As at March 31, 2026	**$ 9,224,259**	**$ 1,008,837**	**$ 9,876,959**	**$ 440,994**	**$ 5,660,526**	**$ 26,211,575**

(1) As at March 31, 2026, the Corporation made capital investments related to the development of its Tier III AI data centers segment (*see* Note 17 to the Condensed Interim Consolidated Financial Statements) and are included within property, plant and equipment. Depreciation is not recognized on the AI data center assets that are not yet available for their intended use. The carrying amount of these assets is $5,013,601.

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5. Property, plant and equipment

	Land and buildings(1)	Data miners	Equipment(1)	Leasehold improvement	Power plant in use(2)	Total
Cost						
December 31, 2023	$ 7,094,339	$ 31,895,779	$ 21,392,207	$ 1,079,542	$ 4,643,800	$ 66,105,667
Additions	-	-	3,200,000	-	590,777	3,790,777
December 31, 2024	**7,094,339**	**31,895,779**	**24,592,207**	**1,079,542**	**5,234,577**	**69,896,444**
Additions	1,718,524	1,100,550	1,962,022	-	1,405,657	6,186,753
Disposal	-	(14,041,665)	-	-	-	(14,041,665)
December 31, 2025	**$ 8,812,863**	**$ 18,954,664**	**$ 26,554,229**	**$ 1,079,542**	**$ 6,640,234**	**$ 62,041,532**
Accumulated depreciation						
December 31, 2023	$ 103,928	$ 22,763,032	$ 7,148,323	$ 401,582	$ 327,447	$ 30,744,312
Depreciation	387,290	8,733,406	5,913,455	105,318	368,920	15,508,389
December 31, 2024	**491,218**	**31,496,438**	**13,061,778**	**506,900**	**696,367**	**46,252,701**
Depreciation	403,233	399,341	5,469,650	105,318	447,054	6,824,596
Disposal	-	(14,041,665)	-	-	-	(14,041,665)
December 31, 2025	**$ 894,451**	**$ 17,854,114**	**$ 18,531,428**	**$ 612,218**	**$ 1,143,421**	**$ 39,035,632**
Net carrying value						
As at December 31, 2024	$ 6,603,121	$ 399,341	$ 11,530,429	$ 572,642	$ 4,538,210	$ 23,643,743
As at December 31, 2025	$ 7,918,412	$ 1,100,550	$ 8,022,801	$ 467,324	$ 5,496,813	$ 23,005,900

(1) During the year ended December 31, 2025, the Corporation made capital investments related to the development of its Tier III AI data centers segment (refer to note 20) and are included within property, plant and equipment. Depreciation is not recognized on the AI data center assets that are not yet available for their intended use. The carrying amount of these assets is $1,386,547.

(2) At December 31, 2024, the Corporation had plant and equipment with a carrying amount of $4,538,210 that was temporarily idle due to maintenance and repairs. The Power Plant was brought back into service during January 2025.

It has been reported that construction records in Shelby County show a construction contract dated June 22, 2026 between Dunn Building Company and DGXX through Digihost Technology for 130 Industrial Parkway, Columbiana, valued at $7,024,000. Dunn is a design-build contractor for low-rise steel-framed buildings whose scope is in concrete and building erection, not electrical or substation work. The scope and value are consistent with a building shell rather than electrical infrastructure.

NeoCloudz is a low-quality business that is already discounting compute by up to 30% when AI demand is high? — Constrained on both sides

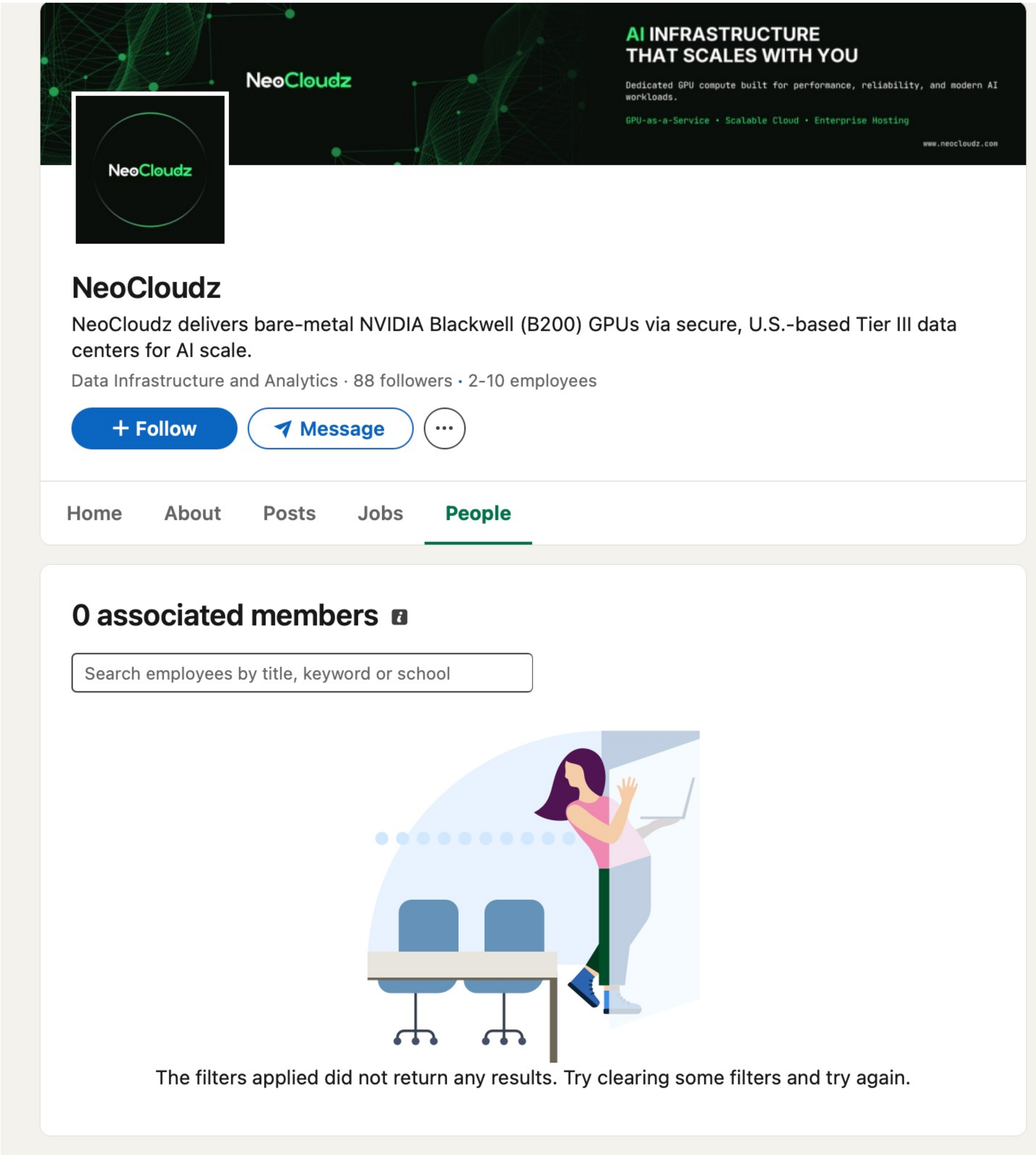
Demand Side:

Their pricing for B200 is $3.99/hr according to their website. I spoke to someone who has worked with CoreWeave and they were perplexed by this pricing.

"I would think that number is low for-sure"

"Almost every company quotes differently… but a lot of these compute companies charge individual users a higher price (typically the displayed price on their website if they show one) and they charge enterprises a negotiated rate"

I reached out for enterprise pricing and to see if memory was included in this quote, and their sales team has not gotten back to me….



Looking at the Bloomberg B200 index, it appears that they are pricing 30% below market rates. Now, I get why a newcomer would want to do this in order to gain share, but management is claiming that their demand is so robust and that they are worth $12.5-15m per MW for GPU-as-a-Service revenue. The math simply doesn't add up. According to the website they are operating at ~70% utilization, with pricing 30% below spot. If we take their utilization rate at face value, the value of NeoCloudz rentals at the current rate is 50% lower than management's signed contracts and what they have guided.

Capital Intensity		
Chips/Pod	256	<- press release
Cost/Chip ($)	$40,000	<- b200 cost
Total Chip Capex/Pod	**10,240,000**	
Other Capex	10,000,000	<- sellside estimate power etc. other infra
Total Capex/Pod	**20,240,000**	
FYI - 1 pod is less than 1mw - 0.8 ish		<- sellside estimates 320-400 gpus per mw

Chip Economics:		
Price/Hour	$3.99	<- according to their website
Hours/day	24	
Revenue Per Day	**96**	
Utilization	70%	<- according to their website
Utilized Days	256	
Revenue/Year	**24,467**	

Pod Economics:		
Revenue/Pod	6,263,470	
Implied Revenue/MW	*6,263,470*	
Gross Margin	80.0%	<- est. higher than colocation but hold capex requirements (also this doesn't factor in crappy Operating Leverage)
D&A	4,413,333	<- 3 years for chips, 10 yrs for pp&E
Adj. Cash Flow	**1,850,137**	
Payback (yrs)	10.9x	<- rly bad economics at 70% ult and pricing

Current Enterprise Contracts:		
SubQ AI		
Total Contract Value	$19.6	<- press release
Time	2	<- 2yr
Yearly Revenue	**10**	
MW	0.8	<- on call 0.8 of mw
Revenue/MW	$12.25	

Revenue/MW	
Contract	$12.3
Mass Market	$6.3
Δ %	*-48.9%*

Doing BOE math, we can see that at their current rates NeoCloudz is leasing at a pretty bad IRR to low quality customers. They will need to price at market and with 100% utilization to see anything under a 3-year payback.

According to the numbers on their website — pricing and utilization are on the front page, which oddly hovers around 70% — the whole website is vibecoded, so it's hard to tell if these are actual utilization numbers they are posting. Judging by the no response from their team, I really question the legitimacy of their NeoCloudz business.

Supply Side:

Let's say they were to fill demand at 100% utilization and everyone gobbles up their 30% discount. They are running these pods at Alabama, so currently the site has 15MW critical IT power, but Cerebras has complete control over 15MW of the power at Alabama in Phase 1. The pod was erected before the Cerebras contract, I think this was due to ill planning by management. So without the upgrading of the substation, they will likely be forced to move the pod in December, which they spent 6 months constructing into place, to New York. This is unless they either have no revenue and are pulling no power, or they have no intention of meeting the Phase 2 Cerebras timeline and instead will use the power on site for other pods. But a reminder that they don't have the substation capacity in Ph1 for both Cerebras and the pod.

Them having one pod is below prior guidance, but looking into the limited photos on site it appears to be the case, and is backed up by a recent press release which shows the pod with nothing surrounding it.

May LinkedIn Video – Michel Amar taken by worker on site

US Data Centers' ARMS 200 AI-ready modular solution at the Company's Columbiana, Alabama campus.

Anticipated ARMS 200 Deployment Timeline

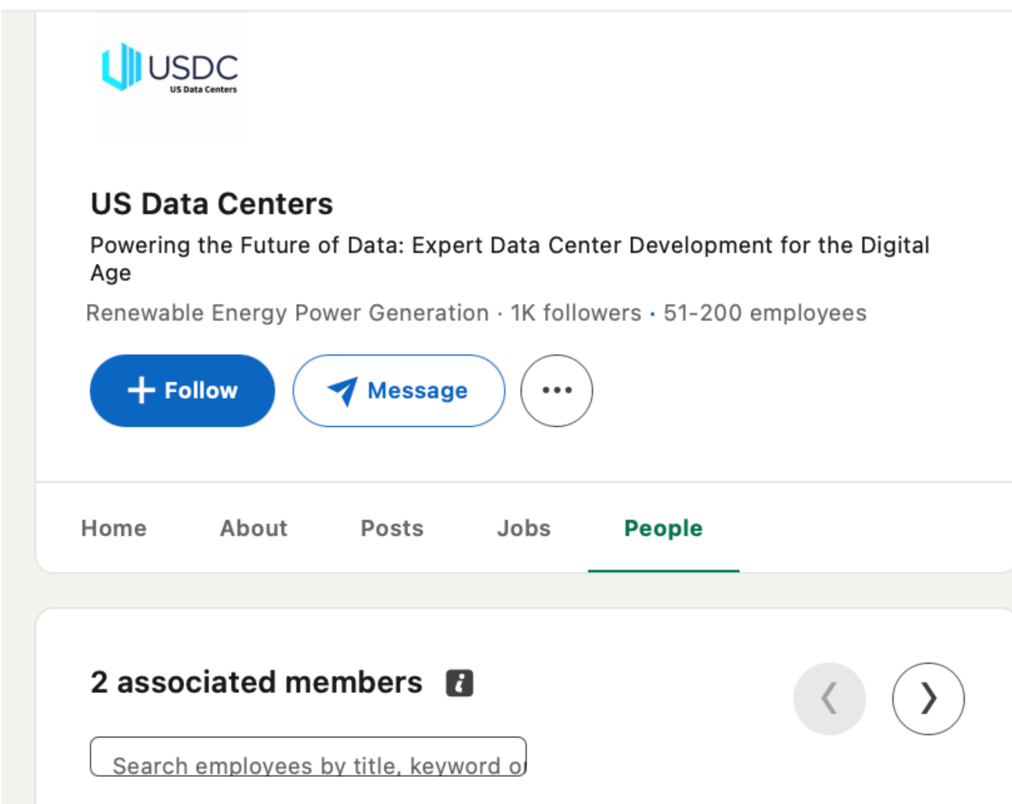
Milestone	Location	Target Date
First ARMS 200 Live Operations	Alabama	March 2026 (3rd week)
Full ARMS 200 Commissioning / GPU-as-a-Service Revenue	Alabama	April 2026
10 MW Pod Deployment	Alabama	Q3 2026
5 Additional ARMS 200 Commissioned	North Tonawanda, NY	Q2 2026

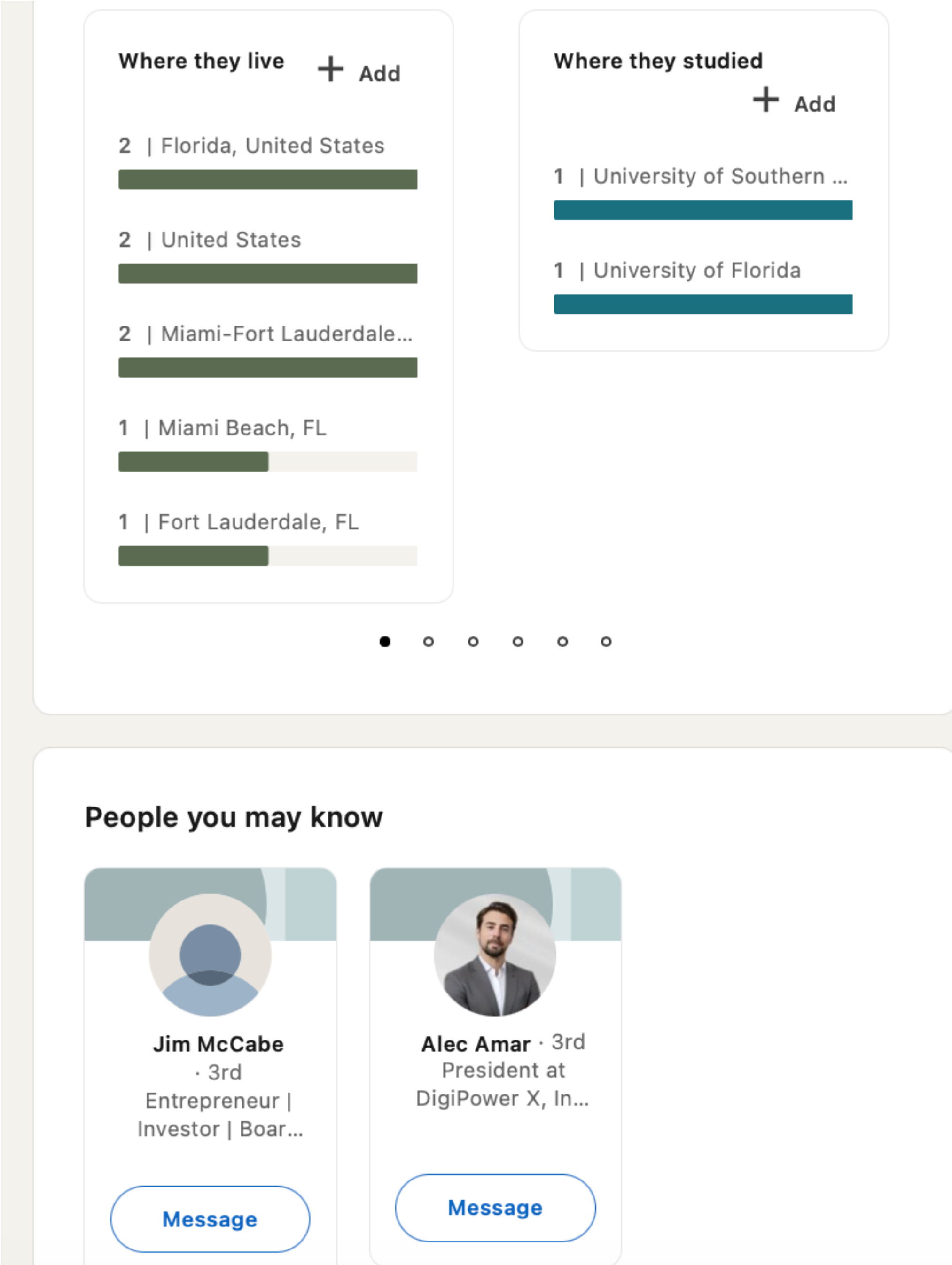
My other question is their guidance around the rollout of more USDC pods at Alabama, which they have previously guided to 10MW or 10 more pods by Q3 2026. Now they have 1 deployed, so where are the other giant 10 pods? Looking at the press release, this looks like a dumpy site with one pod. If you cross-check this with the satellite and substation photos before, there is no space in front of this pod and nothing built behind it — so where are they housing the other 10 pods that are supposedly on site and setup? They probably wouldn't be next to the giant pit of active construction that is contaminated with PCBs, but that's another thing I won't get into (talked with a Toxicologist about this but nothing material came out). The other thing is that each pod costs $10-20m in GPUs and other costs: 256 GPUs × $40,000 per GPU, plus some infrastructure cost that the sell side has at $10m/MW. This would imply close to $200m in capex on NeoCloudz when they are already stretched on the Alabama facility alone. They would have had to issue more debt and equity in order to meet the guide of capacity and then find enough demand to actually fill it. They have already ordered $35m of Rubin chips, and at $55,000 per chip that is 636 chips, or enough for 2.4 pods or ~2MW. Where is the other 8MW coming from, and from what cash? These pods would also be operational only for half of 2027, as the install takes ~6 months, so even if they get them on Jan 1 or late fall 2026, these would not be enough to help them actually hit the 10MW of GPUaaS revenue.

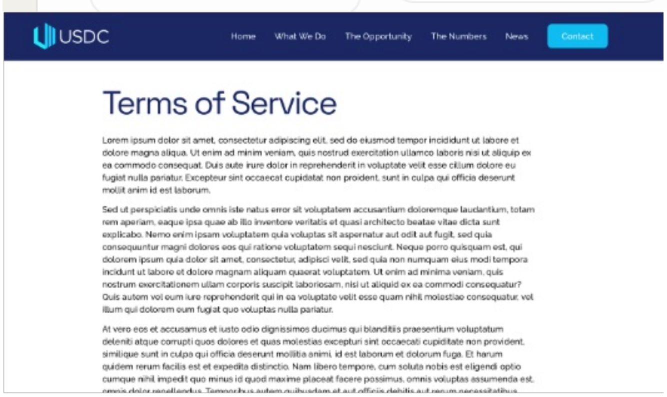
Also, on their website they claim they have 8 data centers. This is a lie. According to the filings, there is nothing about data centers in Dubai, Singapore, or anywhere outside their 3 locations in the eastern United States.

The U.S. Data Centers spinoff and business is sketchy — no material impact on the share price, but a lot of things aren't adding up here.

DGXX founded USDC in 2025 to hold their modular data center assets. It currently has no assets besides a pending patent for their modular system. It was spun out of DGXX in May 2026, with DGXX retaining 51% and 35% going to board advisor Hans Vestberg and 14% to outside investors who fronted ~$835k. Michel's reasoning for this is that to run USDC you need a ton of upfront capital, and DGXX didn't want to or couldn't pay for this in addition to building their data center facility. Michel states the main goal was to raise cash and capital. If you needed to raise cash and capital, this is a pretty poor decision, you are only getting $835k to finance the operations of a capital-intensive modular data center business. Keep in mind that the capex per pod is ~$10m, so DGXX is likely going to need to front the working capital for the business, which effectively means that this is still a DGXX business but they are keeping 51% of the revenue instead of 100% from building it themselves. Since the separation they have hired no salespeople and only list two employees on their LinkedIn, both of whom are DGXX board members, which isn't out of the ordinary; but if your true goal out of a separation is to raise capital and expand your business, I would expect larger VC funding and leveraging future contracted pod deliveries with DGXX to achieve a higher valuation. They are trading at effectively 1x revenue per next pod. This would be dirt cheap for any AI company, and I am sure any VC would have eaten this up and slapped a 10x revenue multiple on it if it was credible...It looks like they also don't have a complete website either.







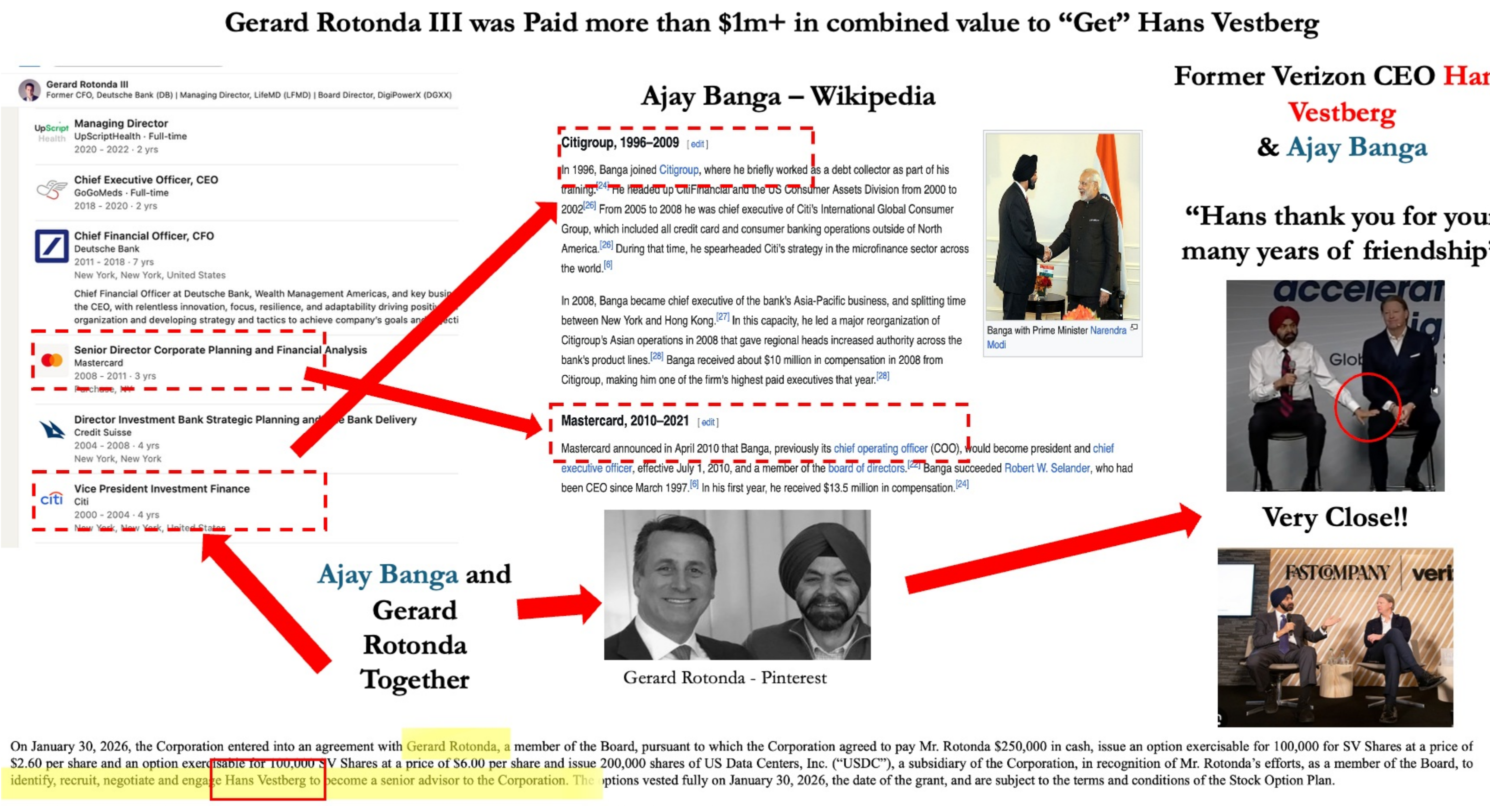
This spinoff was also implied to be at the behest of Hans Vestberg, the former CEO of Verizon. I was wondering how Hans fell into joining DGXX on the advisory board. It looks like the equity payment of USDC could be the primary reason.

CEO Michel Amar himself said they could *"never motivate him [Hans Vestberg] to come into DigiPower X."* He cited that, for the low low price of $3.5m in

USDC, this was a bargain to get him.

Also, for the second-largest shareholder and apparently very motivated owner, you would expect to see Hans Vestberg publicly speaking about his role at USDC, or even talk about USDC publicly, especially since he had USDC's documents modified to fit him as a co-founder.

This puzzled me a lot; why would Hans Vestberg want to participate in this venture? While I am sure a few million on paper is nice, I could never figure this out. I have likely figured out how he probably came into contact with DGXX, and it has to do with Gerard Rotonda, which is widely disclosed in regards to the payment, but not how Gerard came into contact with him.



Valuation:

This part is a little tough, as the current enterprise value is deceiving. In order to finish Alabama they have cited ~$440m in total capex and have spent $95m YTD, but a large amount of this is on GPU orders, which would fall under NeoCloudz. I will budget this and the $35m Rubin pre-order at ~$50m total. This implies they have about $390m more that they will need to finance, they only have $155m in cash on the BS. They have said this is their primary avenue of financing, but in the case that they have to do more issuance, the stock would drop significantly on this. Let's say they finance the entirety through debt, either convertibles or loans, this would add $235m in net debt. Minus the $155m cash on the balance sheet currently, and we get an EV of $480m. I am looking at a PT of $1.45, or a 62% total return. Even if they get Phase 2, current sell-side and management estimates price in an additional $100m of colocation revenue. This makes no sense to me, as they have no asset base or data center for another 50MW that could be built by 2027. I think the market has sold them off for it as it realizes actual 2027 revenue will be way below the posted guide. As discussed above, I am very skeptical about NeoCloudz and don't believe they can scale to 10MW/year as management is claiming due to both supply and demand constraints.

Risks: Announcement of favorable debt financing, pods moved/built in NY, Alabama substation upgraded to 70MW, Phase 2 on track / Cerebras moves in hardware, NeoCloudz contracts

Capitalization Table	
Share Price	$3.9
WDSO (m)	103.6
Enterprise Value (m)	$244
(+) Debt (m)	0.0
(-) Cash (m)	155.0
Market Cap	**$399**

Bridge to Buildout

Current Market Cap (Fully Diluted)	399	
(-) Cash & Equiv	(155)	
(+) Debt	235	<- debt needed for capex
Implied Current EV	**479**	

Buildout Cost:

Total Capex	440
(-) YTD Capex	50
(-) Cash	155
Needed Funding	**235**

Liqudity / Float / Short Interest		
3M ADV		11.11
Borrow Avaliable		150,000
$m Movement Per Day	$	42.8
Shares (Insiders)		9.0
Shares (Public)		94.6
% float		91%
Shares Outstanding		**103.6**
Shares Sold Short (m)		5.1
% short		5.4%
Days to Cover (3M ADV)		**0.5**

Bull Case: Ph 2 is Completed

Income statement

Fiscal Date	Units	FY'20	FY'21	FY'22	FY'23	FY'24	FY'25	FY'26	FY'27	Notes
Total Revenues	$mm	**3.6**	**25.0**	**24.2**	**26.1**	**37.0**	**34.2**	**32.5**	**131.4**	
Colocation	$mm							10.3	92.8	GM
Energy Sales	$mm							12.0	12.0	**colocation** **gpuaas**
GPUaaS	$mm							10.2	26.6	60% 80% <-in-line with peers hard to get a read on this w larger peers having operating leverage
COGS	$mm	**7.6**	**13.8**	**31.0**	**35.8**	**48.3**	**37.4**	**52.8**	**100.9**	
COGS	$mm	4.2	10.5	20.3	20.9	32.7	30.5	14.4	42.5	<- cash gross cogs ex d&A
Power	$mm						8.5	8.5	8.5	<- don't really have a view on energy cogs
D&A	$mm	3.4	3.3	10.7	14.9	15.6	7.0	30.0	50.0	<- est. capex unclear on useful lifebreakdown
Gross Profit	$mm	**(4.0)**	**11.1**	**(6.8)**	**(9.7)**	**(11.3)**	**(3.2)**	**(20.3)**	**30.5**	
Gross Margin %	%	(112.5%)	44.6%	(28.1%)	(37.0%)	(30.7%)	(9.4%)	(62.6%)	23.2%	
Adj. Gross Profit	$mm							**9.7**	**80.5**	
Gross Margin %	%							29.7%	61.3%	
Professional & Regulatory Fees	$mm	0.3	1.7	2.0	1.7	2.3	3.1	3.0	3.0	
Office and Administrative Expense	$mm	0.2	1.2	3.0	2.1	2.4	5.2	7.0	10.0	
Share-based Compensation	$mm	1.2	7.8	3.3	1.6	2.5	8.0	10.0	12.0	
Total SG&A	$mm	1.8	10.6	8.3	5.4	7.3	16.3	20.0	25.0	
EBIT	$mm	**(5.8)**	**0.5**	**(15.1)**	**(15.1)**	**(18.6)**	**(19.6)**	**(40.3)**	**5.5**	
EBIT Margin %	%	(162.8%)	1.9%	(62.4%)	(57.7%)	(50.3%)	(57.2%)	(124.1%)	4.2%	
EBITDA	$mm	**(2.4)**	**3.8**	**(4.4)**	**(0.1)**	**(3.0)**	**(12.6)**	**(10.3)**	**55.5**	
EBITDA Margin %	%	(67.5%)	15.1%	(18.1%)	(0.5%)	(8.1%)	(36.8%)	(31.8%)	42.3%	
Adj. EBITDA								**(0.3)**	**67.5**	
EBITDA Margin %								-1.0%	51.4%	
Cons	$mm								116.131	
Δ Cons %	%								(41.8%)	
Implied 27E EV/Adj. EBITDA	x								7.1x	
Peer Comps	x								4.5x	<- coreweave is at 4.5x 27E (Factset 7/27/26)
Implied Fair Value EV	$mm								**303.9**	
Implied Fair Value Equity Value	$mm								**223.9**	
S/O	#mm								103.63	
Implied Current Share Price	$								**$2.16**	
Current Share Price	$								$3.85	
Downside	%								**(43.9%)**	

Revenue Build

		Units	FY'20	FY'21	FY'22	FY'23	FY'24	FY'25	FY'26	FY'27	FY'28	FY'29	FY'30
Days In Period			*364*	*364*	*364*	*371*	*364*	*364*	*364*	*364*	*367*	*365*	*366*
Capacity Build:													
Columbiana, AL:													
Phase 1 Capacity (IT Load):		mw							3.8	15.0	15.0	15.0	15.0
Phase 2 Capacity (IT Load):		mw								25.0	25.0	25.0	25.0
Total IT Load (mw)		**mw**							**3.8**	**40.0**	**40.0**	**40.0**	**40.0**
Colocation Clients:													
Cerebras													
Total Contract Value	$1,100	$mm											
Time	10	years											
Yearly Revenue	**110**	**$mm**							**10**	**93**	**110**	**110**	**110**
MW	40	mw							3.8	40.0	40.0	40.0	40.0
Revenue/MW	$2.75								$2.75	$2.75	$2.75	$2.75	$2.75
GPU-as-a-Service Clients:													
SubQ AI													
Total Contract Value	$19.6	$mm											
Time	2	years											
Yearly Revenue	**10**	**$mm**							**4**	**8**	**4**	**0**	**0**
MW	0.8	mw							0.8	0.8	0.8	0.8	0.8
Revenue/MW	$12.25								$2.75	$2.75	$2.75	$2.75	$2.75
Other GPUaaS									**6**	**19**	**31**	**50**	**63**
Pods									1	3	5	8	10
Revenue Per Pod (70% ult)									6	6	6	6	6
Total GPUaaS Revenue		**$mm**							**10**	**27**	**35**	**50**	**63**
Total Revenue		**$mm**							**20**	**119**	**145**	**160**	**173**
% y/y													
Cons		**$mm**								**243.6**			
Δ Cons %		%								-51%			

Base Case:

Income statement

Fiscal Date	Units	FY'20	FY'21	FY'22	FY'23	FY'24	FY'25	FY'26	FY'27			
Total Revenues	$mm	**3.6**	**25.0**	**24.2**	**26.1**	**37.0**	**34.2**	**32.5**	**67.4**			
Colocation	$mm							10.3	41.3	GM		
Energy Sales	$mm							12.0	12.0	**colocation**	**gpuaas**	
GPUaaS	$mm							10.2	14.1	60%	80%	<-in-line with peers hard to get a read on this w larger peers having operating leverage
COGS	$mm	**7.6**	**13.8**	**31.0**	**35.8**	**48.3**	**37.4**	**37.8**	**57.8**			
COGS	$mm	4.2	10.5	20.3	20.9	32.7	30.5	14.4	19.3	<- cash gross cogs ex d&A		
Power	$mm						8.5	8.5	8.5	<- don't really have a view on energy cogs		
D&A	$mm	3.4	3.3	10.7	14.9	15.6	7.0	15.0	30.0	<- est. capex unclear on useful lifebreakdown		
Gross Profit	$mm	**(4.0)**	**11.1**	**(6.8)**	**(9.7)**	**(11.3)**	**(3.2)**	**(5.3)**	**9.6**			
Gross Margin %	%	(112.5%)	44.6%	(28.1%)	(37.0%)	(30.7%)	(9.4%)	(16.4%)	14.2%			
Adj. Gross Profit	$mm							**9.7**	**39.6**			
Gross Margin %	%							29.7%	58.8%			
Professional & Regulatory Fees	$mm	0.3	1.7	2.0	1.7	2.3	3.1	3.0	3.0			
Office and Administrative Expense	$mm	0.2	1.2	3.0	2.1	2.4	5.2	7.0	10.0			
Share-based Compensation	$mm	1.2	7.8	3.3	1.6	2.5	8.0	10.0	12.0			
Total SG&A	$mm	1.8	10.6	8.3	5.4	7.3	16.3	20.0	25.0			
EBIT	$mm	**(5.8)**	**0.5**	**(15.1)**	**(15.1)**	**(18.6)**	**(19.6)**	**(25.3)**	**(15.4)**			
EBIT Margin %	%	(162.8%)	1.9%	(62.4%)	(57.7%)	(50.3%)	(57.2%)	(78.0%)	(22.9%)			
EBITDA	$mm	**(2.4)**	**3.8**	**(4.4)**	**(0.1)**	**(3.0)**	**(12.6)**	**(10.3)**	**14.6**			
EBITDA Margin %	%	(67.5%)	15.1%	(18.1%)	(0.5%)	(8.1%)	(36.8%)	(31.8%)	21.6%			
Adj. EBITDA								**(0.3)**	**26.6**			
EBITDA Margin %								-1.0%	39.5%			
Cons	$mm								116.131			
Δ Cons %	%								(77.1%)			
Implied 27E EV/Adj. EBITDA	x								13.5x			
Peer Comps	x								4.5x	<- coreweave is at 4.5x 27E (Factset 7/27/26)		
Implied Fair Value EV	$mm								**119.6**			
Implied Fair Value Equity Value	$mm								**159.6**			
S/O	#mm								103.63			
Implied Current Share Price	$								**$1.54**			
Current Share Price	$								$3.85			
Downside	%								**(60.0%)**			

Revenue Build

Days In Period			*364*	*364*	*364*	*371*	*364*	*364*	*364*	*364*	*367*	*365*	*366*
Fiscal Date		Units	FY'20	FY'21	FY'22	FY'23	FY'24	FY'25	FY'26	FY'27	FY'28	FY'29	FY'30
Capacity Build:													
Columbiana, AL:													
Phase 1 Capacity (IT Load):		mw							3.8	15.0	15.0	15.0	15.0
Phase 2 Capacity (IT Load):		mw								0.0	0.0	0.0	0.0
Total IT Load (mw)		**mw**							**3.8**	**15.0**	**15.0**	**15.0**	**15.0**
Colocation Clients:													
Cerebras													
Total Contract Value	$1,100	$mm											
Time	10	years											
Yearly Revenue	**110**	**$mm**							**10**	**41**	**41**	**41**	**41**
MW	40	mw							3.8	15.0	15.0	15.0	15.0
Revenue/MW	$2.75								$2.75	$2.75	$2.75	$2.75	$2.75
GPU-as-a-Service Clients:													
SubQ AI													
Total Contract Value	$19.6	$mm											
Time	2	years											
Yearly Revenue	**10**	**$mm**							**4**	**8**	**4**	**0**	**0**
MW	0.8	mw							0.8	0.8	0.8	0.8	0.8
Revenue/MW	$12.25								$2.75	$2.75	$2.75	$2.75	$2.75
Other GPUaaS									6	6	6	6	6
Pods									1	1	1	1	1
Revenue Per Pod (70% ult)									6	6	6	6	6
Total GPUaaS Revenue		**$mm**							**10**	**14**	**10**	**6**	**6**
Total Revenue		**$mm**							**20**	**55**	**51**	**48**	**48**
% y/y													
Cons		**$mm**								**243.6**			
Δ Cons %		%								-77%			

I hold a position with the issuer such as employment, directorship, or consultancy.
I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

Catalysts: Phase 2 delayed, issues at Alabama, no announcement of Phase 2 financing, NeoCloudz disappoints next Q rev

Messages

Subject	The GODS HELPPP - Fat Finger
Entry	07/28/2026 10:14 AM
Member	pengiuin253

Admins, could you please fix this:

I do not hold a position with the issuer such as employment, directorship, or consultancy.

Apologies for my error. Thanks!

Subject	Questions
Entry	07/30/2026 12:07 PM
Member	jnau

DGXX - nice work on calling out their bottlenecks and finding some interesting data. Agree they are among the lowest quality operators in the powered land / neocloud space.

- Transformer bottleneck - any way for DGXX to secure a transformer via the E&C who will do their electrical work or pay up for a reservation slot w/ near term delivery?
- Valuation - debt raise shouldn't impact the implied current EV because they'd be credited for cash? Why is CRWV at 4.5x EBITDA the right comp? Why not EBIT given how important D&A is here?

Subject	Re: Questions
Entry	07/30/2026 08:59 PM
Member	pengiuin253

Hi Jnau, thanks for the questions.

On the transformer bottleneck, this is a very valid question. My view is that DGXX would be joining the queue pretty late, and with the project not having complete financing for Ph2, I feel it would be unlikely that the E&C would let them jump over larger clients, presumably with existing relationships, to get the transformer. I also doubt any E&C has an extra transformer allocation sitting around not assigned to an existing client. In any bidding war, DGXX would likely be the underdog. It could be possible, but I view it unlikely.

Sorry, my bridge was a little confusing (my dog ate my model). But the cash will be used up to fund site capex, so that's why it is subtracted. I have fixed it and attached it below. I was still including the cash balance before, which would be spent, so implied EV and valuation are a bit higher.

On valuation, I admit it is hard; you could value it on SOTP of colocation (lower capex) and GPU rentals, but the business is very subscale, so finding true EBIT or EBITDA for each segment is impossible (maybe gross earnings of each).

It is also completely unclear on how the total $440m would be booked across useful life; what falls under buildings or equipment? I don't have a great read on this, but a floor on D&A would be ~$44m/year on it all booked in buildings (10 yrs). Probably higher. You must compensate investors somehow in valuation for sketchy management and issues: constant delays, NY problems, NC (Power Supplier js filed for Chapter 11), and lack of scale. If they fail to deliver Ph2, I don't see why they shouldn't trade at a heavy discount (less than 4x EBITDA) as it will likely impede any larger players from taking DGXX seriously. If they meet Ph2, I could see it trading anywhere from 4-7x EBITDA (see comps below). I see the low end as more likely for reasons stated above.

You could use EV/EBIT; it punishes them for their poor operating structure, but it's hard to get the right D&A number for the reasons above. ^^Their Miner/GPU D&A schedule is 1-3 years compared to other players running ~6, another reason why I think using EBITDA is fair (this implies B200s are booked in miners and 3-year equipment; wouldn't put it past Michel to book these as equipment and slap on a 10-year useful life).

Even at 7-7.5x EBITDA, which gives them a lot of credit in a Ph2 approval situation, it still has 30-40% downside with the implied EV.

The other thing is that it largely trades based on retail (big fanbase on X), and therefore any public delays in execution will cause significant deration. I.E., today Michel posted videos of their 1 ARMS pod, which were basically the same shots he posted in May (conveniently not showing any more of the site), and stock was up 15%. Can't say how much of this was idio though -- miners and data centers were up, but it's important to note. On the contrary, if I am somehow wrong, stock would likely trade higher than true intrinsic value like it did when the Cerebras contract was first announced.

Capitalization Table	
Share Price	$3.85
WDSO (m)	103.6
Enterprise Value (m)	$244
(+) Debt (m)	0.0
(-) Cash (m)	155.0
Market Cap	$399

Buildout Cost:		
Total Capex	440	
(-) YTD Capex	50	<- they cite ~$95m in ytd as alabama but unclear as split vs neocloud vs cerebra
(-) Cash	155	
Needed Funding	**235**	
Future Spend	390	

Bridge to Buildout		
Current Market Cap (Fully Diluted)	399	
(-) Cash & Equiv	155	
(+) Debt	235	<- debt needed for capex
(-) Cash from Debt Raise	235	
(-) Outflow of cash Spent on Buildout	(390)	<- cash is all used up
Implied Current EV	**634**	

Comps:	*2027E*
WYFI	7.4x
BTBT	4.6x
CRWV	4.2x
APLD	9.3x
CORZ	14.8x
Median	*7.4x*

Bull Case:

2027E Adj. EBITDA		**67.5**
Implied 27E EV/Adj. EBITDA	*x*	*9.4x*
Peer Comps	*x*	*7.0x*
Implied Fair Value EV	**$mm**	**473**
(-) Net Debt		235
Implied Fair Value Equity Value	**$mm**	**238**
S/O	#mm	103.6
Implied Current Share Price	**$**	**$2.29**
Current Share Price	$	$3.85
Downside	%	**(40.4%)**